

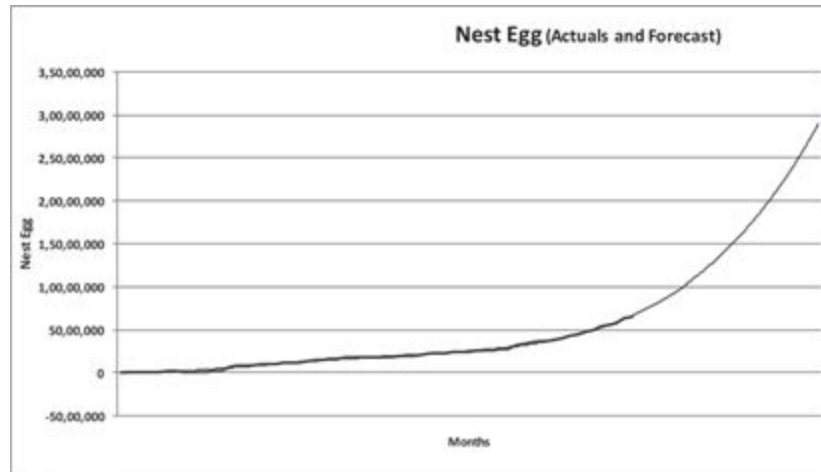


Fig 7.18: Nest egg (actual and forecast)

The above graph shows two different lines:

1. The bold line shows the actual savings accumulated over several months
2. The dotted line, which is a projection of the bold line as it would look for accumulating a nest egg of approx ₹30 million
3. Note that, as the trend predicts, it takes less than 25% of the time to cover the last 75% of the journey. This is the true power of compounding interest
4. This also shows that we need to be very patient on this journey. At times, we might feel that we are not saving enough, but since compound interest has a built in delayed gratification, patience will pay

At the end, do not get overwhelmed by any of the charts or graphs. They are just your aid. Track whatever you comfortably can. The end objective is to keep your journey on track.

Step 7: Tune your portfolio for the coming year